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Exports and Household Spending to Blame for Germany's Stagnation

Household spending and exports weighed on Germany's output. *Photographer: Maria Feck/Bloomberg*

By Mark Schroers
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Takeaways by Bloomberg AI

- Trade and private consumption were to blame for Germany's third-quarter stagnation, a period that saw the European Union enter into a tariff agreement with the US.
- Household spending and exports weighed on output, while investment and government expenditure made positive contributions.
- Higher government spending on defense and infrastructure should buoy activity in the coming years, along with lower interest rates.

Trade and private consumption were to blame for Germany's third-quarter stagnation, a period that saw the European Union enter into a tariff agreement with the US.

Third-quarter gross domestic product was unchanged from the previous three months, data from statistics office showed Tuesday, confirming an initial estimate. Household spending and exports weighed on output, while investment and government expenditure made positive contributions.

"Economic activity was hampered in the third quarter by weak exports, while investments increased slightly," Destatis President Ruth Brand said in a statement.

Europe's largest economy is struggling to emerge from a slump that saw gross domestic product fall in 2023 and 2024. It's particularly vulnerable to higher US levies and weak global demand, and is suffering from longer-standing structural problems from excessive red tape to a lack of skilled workers.

While President Donald Trump and European Commission President Ursula von der Leyen agreed on a trade pact in late July, that still leaves Germany's export-heavy economy with higher levies than before the former took office in January.

However, higher government spending on defense and infrastructure should buoy activity in the coming years, along with lower interest rates. Chancellor Friedrich Merz's ruling coalition expects GDP to rise 1.3% in 2026 and 1.4% and 2027, after inching up 0.2% this year.

The Bundesbank has said the economy may return to growth in the final three months of 2025, with exports and industry set to stabilize. But a poll Monday showed business confidence unexpectedly dipped, while there are fears new public debt will just plug budget holes, not finance additional investments.

"Higher government spending for more public investment is one thing," Bundesbank President Joachim Nagel said Monday. "However, this should definitely be accompanied by reforms that sustainably strengthen Germany as a business location.”

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– With assistance from Kristian Siedenburg, Harumi Ichikura, and Joel Rinneby